

PERSONNEL MANAGEMENT

Unit-III: Human Resources Development

Comprehensive Study Notes

UNIT-III: HUMAN RESOURCES DEVELOPMENT

1. What is Human Resources Development?

Human Resources Development (HRD) is the process of systematically developing the knowledge, skills, abilities, and competencies of employees to improve organizational performance and individual growth.

Definitions

Leonard Nadler: "HRD is a process of developing and unleashing human expertise through organization development and personnel training and development for the purpose of improving performance."

Rao: "HRD is a continuous process of developing the capabilities of human resources in an organization to achieve both organizational and individual goals."

2. Key Components of HRD

Component	Description
Training	Imparting specific skills for current jobs
Development	Preparing employees for future roles
Education	Enhancing general knowledge and understanding
Career Development	Planning and managing career progression
Performance Improvement	Enhancing work performance
Organization Development	Improving organizational effectiveness
Employee Welfare	Ensuring well-being of employees

3. What is Training?

Training is the systematic process of increasing the knowledge, skills, and abilities of employees for performing specific job tasks.

Definitions

Edwin Flipppo: "Training is the act of increasing the knowledge and skill of an employee for doing a particular job."

Gary Dessler: "Training is the process of teaching new employees the basic skills they need to perform their jobs."

Key Characteristics of Training

- **Systematic Process:** Follows a structured approach

- **Skill Enhancement:** Focuses on improving specific job skills
- **Short-term Focus:** Aimed at immediate job requirements
- **Job-specific:** Tailored to particular job roles
- **Performance-oriented:** Aimed at improving performance

4. Types of Training

4.1 On-the-Job Training

Method	Description
Job Rotation	Moving employees between different jobs to broaden their skills and experience
Coaching	A senior employee directly guides and instructs a junior employee on the job
Mentoring	An experienced employee provides ongoing guidance, advice, and career support
Apprenticeship	A structured program combining on-the-job learning with classroom instruction under a master craftsperson
Job Instruction	Step-by-step training where the trainer demonstrates tasks and the trainee practices

4.2 Off-the-Job Training

Method	Description
Lectures / Classroom Training	Formal training delivered in a classroom setting by an instructor to a group of trainees
Case Study	Analyzing real or hypothetical business situations to develop problem-solving skills
Role Play	Trainees act out specific roles in a simulated scenario to practice interpersonal skills
Simulation	Using realistic job-like scenarios (e.g., flight simulators) to practice tasks in a risk-free environment

Vestibule Training	Training conducted in a separate area with equipment identical to the actual workplace
Computer-Based Training (E-Learning)	Using computers, online modules, and multimedia for self-paced learning
Workshops	Interactive hands-on sessions focused on skill development
Seminars / Conferences	Expert-led sessions on specific topics for knowledge sharing and networking

5. Training Process

The systematic training process consists of five key phases:

Phase 1: Identify Training Needs

- **Organizational Analysis:** Examining organizational goals and resources
- **Task Analysis:** Identifying skills required for specific jobs
- **Person Analysis:** Determining which employees need training

Phase 2: Design Training Program

- Setting training objectives and goals
- Determining training content and curriculum
- Selecting appropriate training methods
- Identifying trainers and trainees

Phase 3: Develop Training Materials

- Creating training manuals, handouts, and presentations
- Developing exercises, case studies, and assessments
- Arranging training venue, equipment, and logistics

Phase 4: Implement Training

- Conducting the training sessions as per schedule
- Facilitating learning through various methods
- Monitoring trainee participation and progress

Phase 5: Evaluate Training

- **Reaction:** Trainee satisfaction with the training
- **Learning:** Knowledge and skills acquired
- **Behavior:** Application of learning on the job
- **Results:** Impact on organizational performance

6. What is Development?

Development is the process of preparing employees for future roles and responsibilities by enhancing their general knowledge, skills, and attitudes.

Armstrong: "Development is the process of helping employees to grow and realize their potential."

Features of Development

Feature	Description
Long-term Focus	Prepares employees for future roles and responsibilities
Broader Scope	Covers general skills beyond immediate job requirements
Career-oriented	Focuses on overall career growth and advancement
Proactive	Anticipates future organizational needs and skill gaps
Continuous	An ongoing process throughout an employee's career
Personal Growth	Emphasizes holistic individual development

7. Difference between Training and Development

Aspect	Training	Development
Focus	Current job skills	Future roles and responsibilities
Time Horizon	Short-term	Long-term
Scope	Narrow, job-specific	Broad, general knowledge
Objective	Immediate performance improvement	Overall career growth

Nature	Reactive	Proactive
Orientation	Task-oriented	Person-oriented
Measurability	Easily measurable	Difficult to measure
Examples	Machine operation, software training	Leadership programs, executive education

8. Benefits of Training and Development

Benefit	Description
Improved Performance	Enhances employee performance and efficiency
Increased Productivity	Increases output and operational efficiency
Reduced Errors	Minimizes mistakes and workplace errors
Better Quality	Improves quality of work and products
Employee Motivation	Increases motivation and employee morale
Reduced Turnover	Helps retain talented employees
Career Growth	Provides advancement and growth opportunities
Adaptability	Helps employees adapt to organizational change
Competitive Advantage	Gives the organization a competitive edge

9. Career Planning

Career Planning is the process by which employees plan their career goals and the organization provides pathways to achieve them.

Stages of Career Planning

1. **Exploration Stage:** Employees explore various career options and identify their interests
2. **Establishment Stage:** Employees begin their career, develop skills, and seek advancement
3. **Mid-Career Stage:** Employees reach peak performance, may face career plateau
4. **Late-Career Stage:** Employees prepare for retirement, mentor younger colleagues
5. **Decline / Retirement Stage:** Employees transition out of the workforce

Career Planning Process

1. **Self-Assessment:** Employees assess their skills, interests, and values
2. **Goal Setting:** Setting short-term and long-term career goals
3. **Career Path Identification:** Identifying possible career paths within the organization
4. **Skill Development:** Acquiring necessary skills and competencies
5. **Performance Review:** Regular feedback and progress evaluation
6. **Career Advancement:** Moving into higher roles based on readiness

10. Performance Management

Performance Management is a continuous process of identifying, measuring, and developing the performance of individuals and teams to align with organizational goals.

Key Elements of Performance Management

- **Goal Setting:** Defining clear performance expectations and objectives
- **Continuous Feedback:** Regular communication about performance
- **Performance Appraisal:** Formal evaluation of performance
- **Development Planning:** Identifying areas for improvement and growth
- **Reward Systems:** Linking performance to recognition and rewards

Difference: Performance Appraisal vs Performance Management

Aspect	Performance Appraisal	Performance Management
Nature	Reactive, retrospective	Proactive, forward-looking
Frequency	Periodic (annual/quarterly)	Continuous (ongoing)
Focus	Past performance	Future development
Purpose	Evaluation and judgment	Development and improvement
Ownership	HR-driven	Manager and employee driven

11. Employee Welfare

Employee Welfare refers to the facilities, services, and benefits provided by an employer to ensure the physical, social, and psychological well-being of employees.

Types of Employee Welfare Facilities

Category	Facilities
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Statutory Welfare	Health & safety provisions, canteens, rest rooms, first aid, drinking water
Voluntary Welfare	Recreation facilities, sports clubs, libraries, transportation, housing
Medical Welfare	Health insurance, medical checkups, hospital facilities
Financial Welfare	Loans, advances, PF, gratuity, pension schemes
Social Welfare	Crèche facilities, counseling services, employee assistance programs

Importance of Employee Welfare

- Improves employee morale and motivation
- Reduces absenteeism and turnover
- Enhances productivity and efficiency
- Promotes industrial harmony
- Ensures compliance with labor laws
- Builds employer brand and reputation

12. What is Promotion?

Promotion is the advancement of an employee to a higher position with more responsibility, status, and pay.

Edwin Flipppo: "Promotion is the movement of an employee from one job to another job that is higher in pay, responsibility, and organizational level."

Types of Promotion

Type	Description
Horizontal Promotion	Move to a similar level with more responsibility
Vertical Promotion	Move to a higher level in the hierarchy
Dry Promotion	Promotion without a salary increase
Upgrading	Promoting to a better position with enhanced status

Bases of Promotion

Seniority (Length of Service)	Merit (Performance)
Favoritism-free and predictable	Performance-driven and motivational
May demotivate young talented employees	May cause resentment among senior employees
No consideration of actual performance	Subjective evaluation possible

Advantages of Promotion

- Motivates employees to perform better
- Helps retain talented employees

- Provides growth and development opportunities
- Boosts employee morale
- Increases productivity
- Recognizes employee contributions
- Prepares employees for higher roles (succession planning)

Disadvantages of Promotion

- **Peter Principle:** Employees may be promoted beyond their level of competence
- Other employees may feel resentful
- A good performer may not necessarily be a good manager
- Increased salary and benefits cost
- May lead to organizational politics

13. What are Incentives?

Incentives are monetary or non-monetary rewards offered to employees to motivate them to perform better and achieve organizational goals.

"Incentives are financial and non-financial rewards given to employees to motivate them to work more efficiently and effectively."

13.1 Types of Incentives

Monetary Incentives

Incentive	Description
Salary Increment	Increase in basic salary
Bonus	Additional payment for good performance
Commission	Percentage of sales achieved
Profit Sharing	Share in company profits
Stock Options	Right to buy company shares at discounted price
Performance Bonus	Bonus for meeting or exceeding targets
Allowances	Additional monetary benefits (travel, housing, etc.)

Non-Monetary Incentives

Incentive	Description
Recognition	Acknowledging good work and achievements
Appreciation	Expressing gratitude for contributions
Promotion	Advancement to a higher position

Challenging Work	Interesting and meaningful tasks
Empowerment	Delegating authority and autonomy
Flexibility	Flexible working hours and remote work options
Training	Development and growth opportunities

13.2 Advantages of Incentives

- Motivates employees to perform better
- Increases productivity and efficiency
- Helps retain talented employees
- Builds loyalty and commitment
- Helps achieve organizational goals
- Encourages healthy competition
- Increases job satisfaction

14. What are Retirement Benefits?

Retirement Benefits are the financial and non-financial benefits provided to employees after their retirement from service, ensuring financial security during retirement years.

14.1 Types of Retirement Benefits

Benefit	Description
Pension	Regular monthly payment after retirement
Gratuity	Lump sum payment for long service (minimum 5 years)
Provident Fund (PF)	Retirement savings fund with employer contribution
Superannuation	Retirement fund managed by the organization
Medical Benefits	Health coverage after retirement
Leave Encashment	Payment for unused leave days
Insurance	Life and health insurance coverage
Post-Retirement Benefits	Other benefits after retirement

14.2 Provident Fund (PF)

Feature	Description
Purpose	Retirement savings for employees
Contribution	Both employee and employer contribute
Interest	Interest is earned on accumulated contributions
Withdrawal	Available on retirement or resignation

Tax Benefits	Tax benefits are available on contributions
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14.3 Gratuity

Feature	Description
Purpose	Reward for long and continuous service
Eligibility	Minimum 5 years of continuous service
Amount	Based on last drawn salary and years of service
Calculation	$(\text{Last Salary} \times \text{Years of Service} \times 15) / 26$
Payment	Lump sum payment at retirement

14.4 Importance of Retirement Benefits

- Provides financial security after retirement
- Builds employee loyalty and trust
- Helps retain employees in the long term
- Contributes to social security objectives
- Reduces anxiety about retirement
- Motivates employees to stay with the organization
- Ensures compliance with labor laws

Questions

Short Answer Questions (2–5 Marks)

1. What is Human Resources Development (HRD)?
2. What is training?
3. What is the difference between training and development?
4. What are the types of training?
5. What is promotion?
6. What are the bases of promotion?
7. What are incentives?
8. What are the types of incentives?
9. What are retirement benefits?
10. What is provident fund?

Long Answer Questions (10 Marks)

1. Explain the concept and components of HRD.
2. Explain training and development with their methods.
3. Explain promotion and its bases.
4. Explain incentives and their classification.
5. Explain retirement benefits and their types.

Objective Questions (1 Mark)

1. HRD stands for:
(a) Human Resources Development (b) Human Relations Development (c) Human Resource Design (d) None
2. Training is:
(a) Short-term (b) Long-term (c) Both (d) None

3. Promotion based on performance is:
(a) Seniority (b) Merit (c) Both (d) None
4. Gratuity is paid at:
(a) Retirement (b) Promotion (c) Training (d) None
5. PF stands for:
(a) Provident Fund (b) Pension Fund (c) Personal Fund (d) None

Quick Revision

HRD Components

Training | Development | Education | Career Development
Performance Improvement | Organization Development | Employee Welfare

Training Types

ON-THE-JOB: Job Rotation, Coaching, Mentoring, Apprenticeship, Job Instruction
OFF-THE-JOB: Lectures, Case Study, Role Play, Simulation, Vestibule, Computer-Ba

Training Process

Identify Needs → Design → Develop → Implement → Evaluate

Promotion Bases

Seniority (Length of Service) vs Merit (Performance)

Incentives Types

Monetary: Salary Increment, Bonus, Commission, Profit Sharing, Stock Options
Non-Monetary: Recognition, Appreciation, Promotion, Challenging Work, Flexibilit

Retirement Benefits

Pension | Gratuity | Provident Fund | Superannuation | Medical Benefits | Leave

End of Unit-III Notes